Kusalava Finance Limited

November 09, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Long-term bank facilities	RBI	10.00	CARE BB; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of ratings of bank facilities of Kusalava Finance Limited (KFL) is constrained by its small scale of operations, geographical concentration in its loan portfolio and weak asset quality, despite improvement in FY26. The portfolio grew by 16.7% in FY26 to ₹39.81 crore as on March 31, 2026, from ₹33.45 crore as on March 31, 2025.

Profitability continued to remain moderate with profit after tax (PAT) declining from ₹4.80 crore in FY25 to ₹3.92 crore in FY26, owing to higher credit costs resulting from increased write-offs.

CARE Ratings Limited (CareEdge Ratings) notes an improvement in asset quality in FY26, partly due to write-offs and also due to recoveries. Gross non-performing assets (GNPA) declined from 24.30% as on March 31, 2025, to 7.12% as on March 31, 2026, while net non-performing assets (NNPA) declined from 20.70% to 6.42%. KFL's ability to sustain improvement in asset quality as it scales operations remains a key monitorable.

The rating draws strength from KFL's long operational track record, experienced promoters and adequate capitalisation with the company maintaining a debt-free status since FY22. Net worth increased from ₹37.26 crore as on March 31, 2025, to ₹41.18 crore as on March 31, 2026, driven by consistent internal accruals.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Improvement in scale of operations while maintaining good profitability and comfortable capitalisation levels.
- Significant infusion of equity.
- Improvement in asset quality.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Weakening asset quality levels and profitability.
- Weakening capitalisation levels with overall gearing beyond 3x on a sustained basis.

Analytical approach: Standalone

Outlook: Stable

CareEdge Ratings believes that the entity shall maintain its moderate financial risk profile in the medium term.

Detailed description of key rating drivers

Key weaknesses

Small scale of operations despite long track record

KFL specialises in vehicle and asset financing, offering secured loans against commercial vehicles, tractors, passenger vehicles, two-wheelers, three-wheelers, cars, equipment and property. The company's portfolio is entirely secured with loan-to-value (LTV) ratios generally ranging between 70-80%.

Despite its long track record of operations, KFL continues to operate at a small scale. The company's assets under management (AUM) stood at ₹39.81 crore as on March 31, 2026, compared to ₹33.45 crore as on March 31, 2025. Disbursements increased

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

[2]Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

by ~23% to ₹38.70 crore in FY26 from ₹31.36 crore in FY25. Given the company's modest franchise and regional focus, CareEdge Ratings expects the scale of operations to remain moderate in the medium term.

Geographical concentration of portfolio

KFL operates from its head office in Vijayawada, Andhra Pradesh (AP), with no branch network. The loan portfolio continues to exhibit high geographical concentration, with AP constituting 77% followed by Telangana at 18% as on March 31, 2026. Such concentration exposes the portfolio to region-specific economic disruptions, natural calamities and political or regulatory developments. CareEdge Ratings expects that the company's portfolio will remain regionally concentrated in the medium term.

Moderate profitability

KFL's profitability profile remains moderate and susceptible to fluctuations in credit costs. Though yields improved to 16.64% in FY26 from 15.91% in FY25, supported by a higher proportion of asset finance loans, return metrics moderated in the year. The company reported PAT of ₹3.92 crore in FY26 against ₹4.80 crore in FY25 due to increase in provisioning expenses to ₹0.61 crore from a provision write-back of ₹0.77 crore in FY25. Consequently, return on total assets (ROTA) moderated to 8.11% in FY26 from 10.73% in FY25, while return on net worth (RONW) declined to 10.00% from 13.76% in the same period. KFL's ability to maintain profitability while scaling up operations and controlling credit costs will remain a key rating monitorable.

Weak asset quality metrics, despite improvement in FY26

KFL's asset quality witnessed significant improvement in FY26, primarily aided by recoveries, write-offs and reduction in stressed assets. Gross Stage 3 and Net Stage 3 assets declined sharply to 7.12% and 6.42%, respectively, as on March 31, 2026, from 24.30% and 20.70%, respectively, as on March 31, 2025.

Despite the improvement in FY26, the company's asset quality track record remained volatile over the years, with Gross Stage 3 ratio, having remained elevated in the recent past. The modest scale and concentrated portfolio increase susceptibility to asset quality shocks. Sustained performance in maintaining asset quality indicators at current levels while expanding the loan book will remain a key rating monitorable.

Key strengths

Experienced promoters

KFL is part of the Kusalava group, founded by Chukkapalli Kusalava, who brings over five decades of industry experience. The group includes Kusalava Motors Private Limited, an authorised Hyundai car dealership, and Kusalava International Limited (rated 'CARE BBB+; Stable/A3+'), a leading manufacturer of critical engine parts, catering to major original equipment manufacturers (OEMs) in India, the US, and Europe. KFL is wholly owned by promoters and their family, with Venkateswara Rao and Rama Krishna Prasad each hold over 20% of the company's equity. The Board of Directors comprises six members.

Long track record of operations

KFL commenced operations in 1986 as Cherubic Equipment Leasing & Finance Limited. The company was renamed Chukkapalli Equipment Leasing & Finance Limited in 1993 and subsequently became Kusalava Finance Limited in 1999. In 2005, KFL obtained its non-banking financial company (NBFC) license. With a track record spanning over two decades, KFL is currently led by Siddharth Chukkapalli, Managing Director, who oversees day-to-day operations. He is supported by a Board of five Directors and a General Manager.

Adequate capitalisation levels

KFL continues to maintain an adequate capital profile supported by internal accruals. Tangible net worth increased to ₹41.18 crore as on March 31, 2026, from ₹37.26 crore as on March 31, 2025, driven by retained earnings. Since FY22, the company operated without external borrowings, resulting in a zero gearing position.

Liquidity: Adequate

As on March 31, 2026, KFL held cash and cash equivalents of ₹5.2 crore. Liquidity remains adequate, supported by a portfolio with loan tenors ranging from 2-3 years and the absence of borrowings.

Applicable criteria

Definition of Default
Rating Outlook and Rating Watch
Financial Ratios - Financial Sector
Non Banking Financial Companies

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

Part of the Kusalava group, KFL was founded by Chukkapalli Kusalava in 1986 as Cherubic Equipment Leasing & Finance Limited. It was renamed Chukkapalli Equipment Leasing & Finance Limited in 1993 and became Kusalava Finance Limited in 1999. The Group also includes Kusalava International Limited (rated 'CARE BBB+ Stable;/CARE A3+) and Kusalava Motors Private Limited. KFL was registered as a non-banking financial company (NBFC) with the Reserve Bank of India in April 2005. Operating from its head office in Vijayawada, Andhra Pradesh, the company has no branch network and is led by Siddharth Chukkapalli, Managing Director. KFL primarily finances commercial vehicles, cars, two-wheelers, loan against property and assets such as generator sets and proclainers. As on March 31, 2026, the company reported an outstanding portfolio of ₹39.81 crore.

Standalone Financials

Brief Financials (₹ crore)	March 31, 2024 (A)	March 31, 2025 (A)	March 31, 2026 (A)
Total income	5.04	6.36	6.79
Profit after tax (PAT)	0.09	4.80	3.92
Assets under management (AUM)	36.41	33.45	39.81
On-book gearing (x)	0.00	0.00	0.00
AUM / tangible net-worth (TNW) (x)	1.12	0.90	0.97
Gross non-performing assets (NPA) / gross stage 3 (%)	20.76	24.3	7.12
Return on managed assets (ROMA) (%)	0.22	10.73	8.11
Capital adequacy ratio (CAR) (%)	NA	NA	89.2

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:
A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based-Long Term	RBI	Not Applicable	Proposed	-	-	-	10.00	CARE BB; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based-Long Term	LT	10.00	CARE BB; Stable	-	1)CARE BB; Stable (18-Sep-25)	1)CARE BB; Stable (28-Aug-24)	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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